

## Low-skilled worker mobility and the wage gap

a)

Low-skilled workers switch industries much less often than high-skilled workers. Limited mobility traps them in low-wage declining niches and makes shocks (eg.: automation) more damaging. Because many regions rely on a few related industries the worker-flow network has few bridges. Without the bridges people cannot reach better higher-wage jobs even when vacancies exist. Reducing these mobility frictions can raise earnings, speed re-employment, and lower regional inequality (Neffke et al., 2017; Autor, 2014).

b)

Research measures skill-relatedness between industries from observed worker transitions. Industries are close if many workers move between them (Neffke & Henning, 2013; Neffke et al., 2017). Relatedness predicts which new activities regions can enter and where workers find jobs after shocks. Evidence shows low-skilled workers are more constrained by relatedness distance and face wage losses when forced into “far” industries (Neffke et al., 2017). Policy responses often fund generic retraining but these programs rarely use relatedness maps or the small-world structure of local labor networks so they underperform.

c)

We lack actionable, place-based tools that identify where mobility bottlenecks arise for low-skilled workers and which concrete bridge skills open access to higher-wage, nearby industries.

Research question: Which regions and industries show missing “bridges” in the low-skilled worker-flow network?

d)

Low-skilled workers: faster re-employment, higher wages, clearer pathways. Firms in related higher-wage industries: wider talent pool, lower vacancy duration. Training providers and employment agencies: evidence-based curricula linked to local demand. Regional/national government: tools to cut inequality and cushion shocks with cost-effective programs.

e)

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